The Market's Biggest Divergence Just Got Bigger

Podcast: Know your risk

AI Executive Summary

Core Thesis The episode examines a period of heightened market uncertainty driven by "black box" variables that traditional valuation metrics struggle to capture. The speakers argue that while fundamental metrics for companies like Google and Tesla remain strong, the unpredictability of massive AI-related capital expenditures (CapEx) and significant geopolitical tensions in the Middle East are creating significant headwinds. The central theme is the difficulty of investing in an environment where supply-and-demand shifts (such as SpaceX share unlocks) and unpredictable technological/geopolitical risks outweigh traditional earnings-based analysis.

Key Arguments & Data * Big Tech & The AI "Black Box": * Alphabet (Google): Despite a 17% increase in Search revenue, the stock fell approximately 4% after hours due to concerns over accelerating and unpredictable AI CapEx. The speakers argue that the "black box" nature of future spending makes it impossible to accurately value these companies. * **Tesla:** Experienced an earnings and revenue miss, with shares dropping significantly (over 5%) following news of massive planned CapEx (~$25 billion) for factory upgrades and in-house chip production. * **AI Risk:** Recent reports of AI testing escaping controlled environments (OpenAI/Hugging Face incident) highlight the existential and systemic risks associated with frontier model development. * **Energy & Geopolitics: * Oil Prices:** WTI rose approximately 3%. There is speculation that Iran may intentionally allow oil prices to climb toward the $115–$120 range to exert maximum economic pressure on the U.S. * **Strait of Hormuz:** Ongoing tensions and reports of potential mining of shipping routes increase the risk profile for global energy supplies. * **SpaceX & Market Dynamics:** * SpaceX has seen a massive drawdown (nearly 50% from its high). This is attributed to "mathematical" supply-and-demand shifts, specifically large waves of share unlocks occurring next month that are causing retail investors to face significant losses. * **Commodities & Metals: * Gold/Silver:** Gold and silver showed recent strength, with discussions centered on a potential retest of $3,500 gold as a high-confidence entry point. * **Gold Miners (GDX):** The sector has undergone a

30–40% correction, which the speakers interpret as a "normal" or healthy retracement rather than a fundamental collapse in sentiment. * **Market Indices:** The S&P 500 closed up 0.12%, while the Nasdaq dropped 0.5% and small caps fell 0.93%. The Mag 7 overall declined by 1%.

Actionable Takeaways * Avoid "Blind" AI Exposure: Do not buy into Big Tech solely based on strong revenue headlines (like Google's Search growth); instead, scrutinize capital expenditure forecasts to ensure the company's leverage and share count remain manageable. * **Monitor Energy Volatility:** Watch for WTI crude approaching the $115–$120 range; reaching this level may signal a strategic escalation in Middle Eastern geopolitical tensions. * **Watch Supply/Demand Imbalances:** When investing in high-growth, high-valuation assets (like SpaceX or AI leaders), check for upcoming "lockup" expirations or share unlocks, as these can trigger massive sell-offs regardless of company performance. * **Evaluate Entry Points in Metals:** For investors interested in gold miners (GDX), monitor for a potential bottoming process following the recent 30–40% pullback, specifically looking for support levels near $3,500 for gold.

Full Transcript

It does feel though like they realize that error and their attitude is, no, no, no, we'll come back to the table and negotiate, but let's get WT up around 115-120. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing? You can join Bulwark Capital, Zach Abraham for his free market blind spot webinar July 23rd at 3.30 Pacific. At our webinar, we'll expose blind spots investors may be overlooking, threats to your portfolio in the months ahead, plus a full reveal of how bulwark is focused on risk management. Always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible. Have your questions answered during this live and free webinar. Register today at knowyourriskpodcast.com for the market blind spot webinar happening at 3.30 Pacific on July 23rd.

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Southeast Texas. And today in Bay City, Texas, it is at 100 with 74% humidity. I was like, all right, I'm good.

Yeah Little bit little bit different. Um awful. Yeah, I uh Like we were joking around man. That that's a completely different level of hate. We'll hit 90 here today, but No, the the issue we've got is that our office building doesn't have any air conditioning which What I probably want 345 days out of the year 350 days out of the year is not a problem. Not a big deal. Yeah No, but when you're sitting there in that studio in this weather, like it right now, if we were in the studio, I mean, we'd be sweat. I mean, it wouldn't be pretty. We have the little units, you know, the sweet ones from Costco, but that does not help the tech-thick small studio. Well, there is also this aspect too. When we're done recording at the studio, we can't just walk directly outside into our backports and stare at the Bay either. So I'm not going to lie to you, right? There's a little bit of, there is a little bit of selfish, a little bit of selfishness involved. But anyway, let's, um, let's start with the rundown a little bit because, um, didn't, didn't, no real fireworks. I mean, I think the market basically finished flat on the day had some anyway, we'll get to it. Let's give us a rundown with you.

Yeah, S&P closed up point one two the Q's were down half a percent because I got a little worse as towards the end there Small caps down point nine three. That wasn't great Mag seven was down one percent There's another kind of another similar day though. You had some some dollar down kind of stuff moving even though dollar was only down point oh six But US equities broadly speaking pretty weak Mag seven ugly and and speaking of that Google and Tesla earnings Google down 4% in the after hours after being down one on the on the day I think probably mostly CapEx and then Tesla down three and change after being down 1% on the day and kind of breaking their trend line for the whole year. So like not great in bonds also not great. You had the two year up another four basis points and that's a new high for the two year for this whole move. So we had that deflationary print that whacked it down 10 basis points year right back to a new high.

10 years of another three basis points and the 30 year up another two basis points oil up another 3% You had Gold of almost to silver up to GDX up

another three and change The rest of the metals kind of mixed vol ended up up about half a percent. So no no big news there The memory was down a smidge, which is a incredibly low vol day for it only down 1.8 but At the same time, chips were up about half a percent. You know what I was thinking today? I really miss the days where I could be long Google when it was so cheap, based off the stupid narrative that Search was going away. Did you see the numbers? Search was up another 17 percent.

Right, I I miss being involved now you look at the go look at Google's quarter I didn't dig into it, but the headline numbers were unreal I mean it looks like growth is accelerating for them, but they're gonna counterbalance with a I mean even there even they're showing accelerating spend next year and It's just a quandary. The underlying business is so good, but you're sitting there going, because here's the other side of it. You're getting to a point now where you're getting to a point where I don't think they can slow. I mean, they can do whatever they want, but you're kind of pot committed to the AI thing at this point, right? I mean, you can't just pull back the spending if you want to. Not after you put up this much though. I mean, you got to stick with it.

And then if they didn't, if they all of a sudden decided you don't want this is out of control, we're gonna quit spending, what then happens to the stock? It's such a strange, if it wasn't for the AI spend, I mean, the thing would be a screaming buy here at these levels. But- Yeah, I think there's gonna be a first mover advantage to whoever does finally throw in the towel on big AI capex. I think the first one that says like, all right, you know what? Especially if they go big and they're like, we're like, we're basically out of the frontier model game. We're done. I think that stock will be up 10, 15% the day it happens and we'll keep moving higher. And I think it would, that's the kind of thing that would get the tension of the other players to go, oh, that looks, that looks fun. Now, I don't expect that to happen soon. I think that would be more of a, you know, 50 plus percent drawdown kind of thing where you, where they have to feel the pressure to do that. But I think it's coming eventually.

Yeah, man, it sure has made it tough though because you look at that business, you look at Google and at this valuation level, you look it on the

surface and you're just like, man, I want to be buying that with both hands. But then you dig down and you look at the spend and you look at the leverage and you look at all the different things, the stock. It's a bizarre environment. I was trying to think about that today, you know, because we made a lot of money on Google. That was a favorite horse that we rode for a while. And I was sitting there today trying to think of another time where I liked the company so much but couldn't buy it for a reason like, you know, obviously there's never been an AI rush before. But you know what I mean? Where you're like, You're looking at a company. You love the valuation. You love the way it's performing. You think they're hitting the ball, knocking the ball out of the park. And yet there's this thing that just keeps you from being able to buy it. And it's kind of a black box nature, black box nature of it. You know what I mean? Like if I buy Google right here, I don't really know what I'm buying.

You know what I mean? I don't know what it's gonna look like a year from now. I've got no clue what the CapEx is gonna look like a year from now. I have no idea what the share count's gonna be a year from now. I got no clue what the balance sheet's gonna look like a year from now. You know what I mean? It's just kind of an odd scenario. I couldn't think of a comp. Yeah, because if you think about it, it would be like the, I'm trying to think of like, if you took like the best thing of its time back, During the railroad boom, they had nothing to do with railroads and it was like, Hey, we're all in on railroads. And it's like, man, I really love your business. Why do you have to go? Throw all your money at railroads. Like I don't want that. And that's what it just complicates everything. So even the other names, like there are things, I'll look at meta, I'll see a bull case and I'm getting excited about it. And then I'm like, wait, but they still have all that AI capex and I don't want to deal with it. And I view that same for Amazon. Like there's things to like about it. But then I think about the capex and I'm like, eh, pass.

Yeah, well and the other thing that you have to consider too, and I've got no answer for this is that if if somebody wins if a big frontier model emerges and it's not theirs What does that mean for the stock? What does that mean for the spend? I just I don't know how to handicap it and just good good. Sorry Well, and when I say I don't know how to handicap it, I mean on both sides. I can't tell you that I'd sell it here. I can't buy it because I don't know.

I don't know. I have no idea what to do with those companies. So speaking of, there was some huge AI news that's just crazy in the last 24 hours. And that is open AI had something being tested that jumped outside of its test environment.

Yeah. Hacked hugging face to like cheat on a test or something. And then hugging face couldn't fight back using Claude because it has a bunch of guardrails for safety. So they went and used an open source Chinese model to fight back and it worked. So they had to go use a Chinese model to stop AI from wreaking havoc inside of their system. That's like some stuff out of a movie. That's just crazy. And it's scary that the stuff, you know, it didn't have permission to do that and just did it. It is scary. And one of the things, and I don't want to, you know, I'm not going to be like an AI hand ringer here, but when you sit down and you're really, you know, logically walk through it, it is scary. And it's scary because, A, the people that are pursuing it and understandably so, right? Let's go right back to the cap expend.

they're pursuing this thing in a neck break, you know, like a neck break pace, right? I mean, they're going after it. It's competition. The bulls are on parade. And understandably so, right? If they miss out on this wave or they get it wrong, it's probably an existential threat. At the same time, you're dealing with something that we don't understand, right? Like we don't know what the implications are. I'm not saying it's gonna be sky net and it's gonna take us all out. But I'm just saying, a perfect example today, they had no idea that was going to happen, right? You had no idea. You know, Windows doesn't always just all of a sudden jump outside of your PC and just start messing with stuff. And, you know, again, not to be hand wringer and be all freaked out about it. But no, you hear the stories. He's seen enough sci-fi movies. It's enough to freak you out. It is. I mean, it certainly should be enough to freak you out.

What what do we got? What's the latest any any new news out of out of the straight? Our good old friend the straight Nothing like huge that I saw the day seemed like It's calmed down some I saw the president did make a threat that for every ship that gets hit We're gonna hit a bridge or a power plant and then ran immediately came out and said cool We'll just hit a bridge or power plant from one of our neighbors or hit more of your

interests If you come out today that some US officials thought Russia must be helping them in a big way because they've hit two or three different CIA sites that I guess they're assuming the precision of that and you know how would they have known that those are CIA sites etc. So honestly more the same. It's still clear to me that you know Iran has has that ugly escalation capabilities, but as far as the story goes, not really nothing's getting through that Oman lane. In fact, this is news. The Iranians said that that is now mined. I don't know if that's true or not, but it adds another layer of... I mean, it was already pretty risky, obviously, to go through there. They hit like three or four a day, but now they're saying it's also mined. So we'll see if that just completely takes out all...

you know, traffic through the Oman route for a long time or not. But I didn't see where we finished, but it wasn't WTI up another two, two and a half percent on the day or something like that. Yeah. Close to three here at last check. Kind of feels like it's just, it's starting to do that daily creep. You know what I mean? It's been like, it's been like 10, 10% a week for two or three weeks now. Right. Yeah. It's basically 10% a week for three weeks in a row. So. not nothing, but at the same time, you're still under 100, even on Brent. So nothing crazy either. Yeah. I think when you look at the situation, you just got to hope cool heads prevail because it doesn't really seem like the situation's spinning out of control anymore. But that part of the world in these types of situations, You just hope something doesn't jump. You know what I mean? I I guess looking at the situation it feels like we've been playing for five with fire now for about four four and a half five months four and a half months How long is it going on now? Are we have we have five more? You're six days and six days you hit five months. Yeah good golly That's unbelievable. Oh one more month after that you're half a year like it's a long time Yeah, and I get it again impossible to handicap because you can get in the news announcement out tonight that they're renegotiating. But it doesn't feel like we've been further away than we are present from resolution. You know what I mean? I think that's fair. And I saw someone speculating, and I've speculated on this last week, but that it's starting to feel like Iran is less interested in talking. And to the point where they're going to, I think they want us to feel the pain hard enough this time.

so that we don't go back to this yet again. Rubio yesterday basically said, hey, they're not really negotiating right now. The White House keeps saying, oh, they're begging us to talk. But Rubio yesterday was like, yeah, they're not really talking. They're saying they're not interested in talking. I think this time they probably recognize that They need that they need that pain level to be ratchet higher which you and I were both kind of surprised that they sat down for the MOU with you know 80 oil or whatever instead of I think that clearly was was an obvious mistake at this point because you get back into the 60 70s and we're like cool. Let's just start this up again Well, I look I I thought it was odd just because I thought I ran again as much as I disdain them I thought they had done a pretty good job kind of playing it, you know, with their cards close to the vest, playing it pretty strategically. And then I sat there and when they sat down, I was like, how, why would you go to the table with crude gear? Yeah. Because you looked at, you looked at so much of US policy, you looked at the job owner, you looked at the focus of the administration. And it was very clear that their biggest concern, and obviously so, I'm not, I'm not breaking any news here, but that their biggest concern in this particular conflict was oil spiraling out of control. So why they thought that that was a good time to negotiate when oil was sub 80 didn't make any sense to me. It does feel though, like they realized that error and their attitude is no, no, no, we'll come back to the table and negotiate. But let's get WT up around 115, 120. I'm not saying it's going there. Obviously, if nothing changes, I don't see how it doesn't. But, you know, your You know, like I've said from the very beginning and I don't want this to be the case and I I really hope I'm wrong, but if I'm in Iran shoes I There's no way you're gonna get as much of what you want at 75 crude than you are 115 to 120 Yeah, if it was up to me and I was them I'd say hey don't pick up the phone until their average gasoline price is five Yep, like and just just don't pick up the phone. Yep. And and yeah And I would I might even say that too, you know, I probably tell them none and I will talk it. We'll talk when Cruz at 120. You know, I mean, just and see what they have to say. Yeah. And the other thing too, man, from the administration standpoint, every single day this goes on, you're getting closer and closer to midterms. I yeah, I don't know. It's and I you and I were talking about this the other day.

There were so many times where you and I thought that you should just kind of walk away and say we've already accomplished what we wanted to accomplish I don't know that they can anymore. I mean It just seems way more messy. Yeah, if you do that And I hate to say it but well, I think you should take a deal take take the bad deal because it's just the best of terrible options but if you just walked away you're walking away with no monitoring on their nuclear program, which is obviously not good and just fully seating control on the street. Now, you're going to have to do that either way. But I think in a deal, you can at least structure that governance of the street in a way where you feel good about the flow of energy. You know what I mean? Well, yeah. And to be clear, they have a lot of incentive to make sure that that is the case. Because I think they want the leverage. They want the leverage. They don't necessarily want to use it, but they want the leverage.

Yeah, oh if you walk away from a deal thinking all right fine they have leverage But we're confident they aren't gonna need to use it and then oil will flow and stay cheap and then you're good Yeah, I I This just feels like a man. Yeah, it's just I don't know man. I'm out of superlatives I just I don't I don't I don't see how you're gonna get I I don't see how you're gonna get a desirable outcome from the current course action. And like you said from the very beginning, it goes back to our original thoughts, which is, unfortunately, I didn't see a way out of this without giving them control over the straight and doing these things. Especially if you want really good, because at the end of the day, the stated goal is primarily focused around the nuclear program, right? So if you can get really good nuclear oversight, but you got to give up the straight, I would think you're gonna have to take a deal that looks like that. You know what I mean? You're gonna have to take a deal that's bad PR. There's just no choice about it. I mean, when one side has the power to do this, when your options are horrific or really bad, then you have to go through really bad. It's just kind of...

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webinar, we'll expose blind spots investors may be overlooking, threats to your portfolio in the months ahead, Plus, a full reveal of how Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible. Have your questions answered during this live and free webinar. Register today at KnowYourRiskPodcast.com for the Market Blind Spot webinar happening at 3.30 Pacific on July 23rd.

And you can also subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. What other earnings did we get out today? I saw the Google ones. I haven't, like I said, I've been on a call in another meeting. I haven't really seen the other. Who else was announcing today? Tesla. And Tesla, actually, Tesla missed. I saw, I think the revenue. Maybe, maybe B, but the earnings missed. They're doing a lot of CAPEX themselves. I think they announced like 25 billion this year in CAPEX, which probably was some factory upgrades, some AI stuff. They want to start making their own chips. So there's some stuff along those lines. It's going to be expensive. So I'm assuming that CAPEX number and then obviously just the earnings miss both probably is what was stinging the most there. It's down five and a quarter and after hours right now.

Not, not good. What's SpaceX doing? Do you know? No. And I was hoping to tell you this later, but my mouse died. So I can't even scroll up to look at it. Well, I can look at my phone real quick. So for those born at home, whenever we finish the podcast, I'm going to have to go charge my mouse and then come back and hit, hit stop on this. Charge your mouse. Do you, I don't, I don't think I've ever seen a mouse like that. You can plug yours in and charge it. Indeed. All right. Yes. I didn't realize that bad. SpaceX was down 6.7 on the day. So where's it at now? It's got to be 115 Just yeah a trillion dollars of value probably like 1.2 trillion now in a month. That's just crazy Are they are they had a trillion dollar market cap still? Maybe not let me look well, so it's dirt cheap then Yeah, I mean if you like that at two

point whatever Well, when do the lockups I mean you've got another the other crazy thing is you got another wave of stock coming your way to Yeah, I mean and to be clear like though I do think the reason is getting smoked is it's people that are smart front running the fact that all those shares unlock next month Oh for sure. Um, for sure. So which is was one of the more predictable things and they threw the market to me but And so at some point it's going to get a bit of a dead cat or something, but then, you know, just, you just have waves of share unlocks all year that are just going to keep this going. Yeah. I'm still showing it at, um, over, over, over a trillion, good bit. So it got itself all the way up to almost three one day. Did it really? I got that. And I thought it just, I thought it just crested too. Yeah. Well, it IPO'd basically at two and then got its way up to 2.9 and change.

But now it's like one six something like that Good golly, man. So that you so you've pulled back almost one five. You've almost 50% from the high Yeah, it's in a it's in pretty ugly drawdown Yeah, and I saw I saw chart one of the one of the brokers or somebody put out the other day it showed um or one of the investment banks showing The retail activity in it and it was just as you would say just madness. It was just huge flows from retail into it. So literally every single one of those people is down. But some of them are down a lot, you know, anyone that bought anywhere in the zip code of that of that top is just getting wrecked. Yeah, I well, like we mentioned before, man, I'm not happy that people are getting wrecked. I am however happy for my own sanity that that so many of our clients that were, you know, well, because everybody knew.

Right? This is the chance of the lifetime. It's the investing chance of a lifetime. Everybody knew. It's the ultimate show of like, hey, how much something is valued at and how much you're paying for it. It matters. It doesn't matter how cool the company is. It doesn't matter how brilliant their future is. There is a price that's wrong. And it tells you how important supply and demand is for just the shares of a company. You can't print unlimited shares of a company and have it keep going up. It's not how it works. You know what's odd to me? And I'm sure a big part of this is just proximity and the fact that we do this for a living. But it's so odd to me that when I had conversations with some of our clients about this, I brought up

the valuation and they kind of looked at me like I had a third eye run on it. Like what are you talking about? It's a great company.

Again, people laugh when I say this, but, and again, I'm sure it's a product of me being too close to it. It's what I do for a living. But you sit there and you're like, wait a second, you buy a stock without even considering what valuation you're paying? Yes, most people do. It's crazy. Yeah. It just blows my mind. I mean, good, because what he, I mean, that's like trading baseball cards. You know what I mean? Yeah. Even when we were kids, even when we were kids and we were trading baseball cards, somebody'd always bust out a Beckett. Remember Beckett's? Remember the, yeah, yeah, the magazine. You'd even, these, the oblivious nature and people not even caring and not even knowing what they're paying for an asset just blows my mind. I'm not sure what it says. I mean, obviously that's bubble-like behavior.

Now, that being said, it's Elon Musk, it's Tesla, it's SpaceX, right? So it's different. But just like I was the crazy one for saying, don't pay 2 trillion for 18 billion and negative 5 billion a year in net revenue. Like, you know, where I'm looking at these people that are shocked that they're down in their SpaceX and you're looking at them going, so wait, you really thought two months into this, you'd be up? You thought lighting money on fire was worth 2 trillion? Yeah, I just pretty unbelievable. Now, I probably would have had a bit of a different attitude had the IPO a lot more stock and the IPO would have held up and you didn't have this wave coming at you. But if you're SpaceX and you're choking right now, well, right now, what did they have 50 billion of stock trading?

Right it's less than the 80 billion the IP right. I mean they're less than the IPO price. So They they IPOed it. They the float was 80 billion at the IPO price, correct? Yeah, 80 85 minute. Yeah. Yeah, so now you're done it but This thing's choking and you've only got 50 billion or 60 billion in the float and you're you're about ready to double that I If it wasn't Elon if it wasn't Elon Musk and SpaceX particularly I'd probably be short the stock right here Yeah, the seawolf guys the seawolf got seawolf guys were short. They just they actually just covered it. Um, did they? Yeah. Oh yeah. I mean, I know there's no one reason to cover it is just to get out of the way of, you

know, the earnings, the earnings calls and stuff. But yeah, I, I definitely wanted to just because this one is like mathematical is just in fundamental on the, on the just pure supply and demand side was just When you looked at the chart of when all those unlocks hit and how big they were compared to the first flow, it was like, okay, well, this has no chance. Now, can it rip at first? Sure, but... Yeah, well, especially when those lockups, where those shares are going to be flowing right into a chart that looks like that too, right? I mean, if that thing was moving the other direction, you'd sit there and go, okay, maybe it can absorb it, but it...

it doesn't appear to be able to absorb anything at this point. I mean, it looks like just- It couldn't absorb the tiny IPO essentially. I mean, it's like having a baby and you give it like one tiny spoonful of baby food and it's like, yeah, this is good. I can't get the firehose. It loves it. Let's give it all of it. It'll eat it all. Hey, did we, one thing I don't think that we discussed, did we look at the short interest in oil futures? Did we look at that trading data at the end of last week? Yes. So you have come down some, but not much. Now, after this week, another 10% week or whatever, I'm sure some of that will be gone again, but you're still absolutely in the unwind of that. And I would call it the third or fourth inning of the unwind of the shorts. Hey, I love it for our longs. Absolutely another head scratcher there. That to me is almost I mean, not crap quite as wild as SpaceX, but just, and, and, hey, once again, I could prove to be wrong over the next week. I just cannot imagine wanting to be short of oil right here. I, I, I, I still think a lot. Everyone is like the, the sentiment's still even still bad on it. It was just crazy. The sentiment and the positioning are still bad on it. If you ask, you know, any experts like, Oh yeah, no, it's going to be fine. Um, and I still, I really still think people view this as like, Oh, well, this is, that was a terrible investment.

I have it up before my mouth died, but oil-k total returns since the war started 34%. And Marathon Petroleum, the refiner we own, it's up 60% since the war started. And I feel like the average person out there is like, oh yeah, no, like, if you just were in the queues, you did better. Like, no, you didn't. Yeah, we were doing our town hall meeting yesterday. And I think a lot of our clients were surprised to hear that The collection of our oil investments are green on the year. That wasn't what was hurting us. It was,

you know, the pullback in miners that was the majority of our, you know, the majority of our pullback from the highs. Now, good thing that we've retraced a good amount of that in the last week, week and a half. And we're back on them. That's, yeah, that's worth mentioning. Like, I don't trust this rally and metals yet, but.

It's been, it's been a nice little rally in, in metals. Even, even Bitcoin like picked up a little bit. I don't trust it because I don't think the liquidity side is going to be there. And I'm, and I still just, I'm worried that the war and the oil side will continue to be too, too much of a headwind. But you just, you just look at the chart though. And it, it is starting to look interesting. You, you do still have to put in the higher high for it to be like, all right, well, it's go time, but it, I see a lot of people call on the bottom too, which also naturally makes me I feel like it's not. But yeah, it has looked decent the last few days. And I'll give you another completely anecdotal one. But, you know, James Jude, Jimmy Jude on Twitter. Yeah. Yeah. OK. So I saw a tweet he put out the other day and he's he was talking about he's really looking forward to an opportunity to buy gold handover fist at thirty five hundred. And that caught my eye because I, you know, I said for a long time that I just, that number stuck out into my head that I thought we'd have to revisit that and retest that at some point. And Jimmy's a really sharp trader. And I told him, I go, you know, Jim, seeing that makes me feel a higher level of confidence that 3,500s in play. Again, if we got down there, I think it'd be a gift, you know, because all the things that drove it, I think are very much still in play.

But I'm with you too. This just, and look, it's been a brutal pullback in the miners. What you typically look for as a guy that's ridden several of these bulls is you're looking, I don't know why this tends to be the number, but it's that 30 to 40% pullback in the miners. That's just a normal correction. We're very much there. I mean, I think at one point GDX was down 40 plus, wasn't it? I don't know if it hit 40, but it at least got to like that 35, 38. Area for sure. Yeah, you got up to one I think I think GDX got up right around 115 at its highs and you got down to at least 70 So you're right in that 40% range That being said When you usually get those 30 to 40 percent pullbacks in the miners, it's not usually it doesn't usually occur after gold doubled in 14 months You know what I mean?

And so when I look at that, I kind of feel you got a good correction, but it didn't feel like the washout that I feel like you deserve. Now, I don't want this to happen. We're long minors. I'm just saying, you know, I feel like people forget. I was explaining this to the clients on the town hall meeting, which was just, hey, guys. It's awesome when you catch a runner. It's awesome when you get a big move, but the bigger the move is, you've got to know that the corresponding and resulting correction, if you catch a sector up 160% in a year and you get that correction, you should probably be expecting it to hurt. Flipside is if you caught a runner, the sector that was up 20% in a year, you probably only need to worry about three to 5%.

But it just, a 40% pullback is totally normal. It just doesn't feel like the washout. I don't feel like they ever really got bombed out in sentiment. I hope I'm wrong. I like buying things that just go up, but I will not be surprised at all if we've got to test lower lows, maybe even a 3,800. I haven't looked at the chart recently, but if memory serves me, I felt like if you broke 4,000, it looked like 3,500 since the next stop. That's been my target since October. That's where I would want to feel really good about getting back in, because that was that correction sideways where we just couldn't get above it, couldn't get above it. If you come back to that, my view is that then it will probably act like support.

And about 53 bucks on silver for me is about the same. Old high that was tough to get through and what can become a new low. Yeah. Yeah. What else did you see, man? That about does it for me. I was just, I was really interested to see those Google earnings. And like I said, man, I haven't dug into them. I'll do that after we get off here. But boy, the headline numbers looked really good. And I'm just torturing myself because I just think they're such an awesome company. But it's just killing me that I can't buy that. Again, I love the underlying company. I just until there's more clarity on this stuff, if I'm pulling the trigger on a company like that, I got to be honest with you. I don't really know what I'm buying. Yeah, it's just it's getting lit up. It's back to April levels now under three twenty nine. Close the day at three forty two, basically. So it's breaking trend trend, just like Tesla looks ugly out there.

So they got to be announcing some massive spend then. Yeah, I must say my guess is that it's all about the capex. I'm showing down about 4% after hours, but also down 1% on the day. So combined, almost 6. NASDAQ futures are down about half percent. So not delightful, but also not horrible or anything either. Don't get me wrong. No, but it's setting up here at the end of the week. kind of a give back trade on that nice rally that we had the other day. Was that yesterday? Yeah. And we said, you might get a pullback today, but it looks like it could be setting up for Thursday or Friday, Thursday and Friday, maybe. Yeah. And you're barely in positive gamma. So you could be in, you know, in a unfun chasing your tail situation, pressuring everything to the downside. So we were a negative yesterday. Today flipped us positive. Yesterday's good day was enough to get us positive. Got it.

Got it. Got it. Got it. Got it. I think, but my math says, and by mine, I mean tier one alpha's should have had a still closed, like barely above it, I think. Okay. You got anything else, man? That belt does it for me. Nope. Good to go. I'm going to go charge my mouse so that I can stop this recording. I'm going to go out and enjoy this 90 degree heat, man. I'm going to go out and then we go to bed. All right, you guys. So thank you for tuning in. As always, you can follow Chase Knight on Twitter. I'm at KYR Radio. Chase is at Pinecone Macro. Get the video feed on YouTube at Know Your Risk podcast and any other podcast site. Have a wonderful evening. We'll see you tomorrow. Listen to Know Your Risk podcast. Download it and subscribe to knowyourriskpodcast.com. Investment advice cannot be given without a client service agreement. Zac Abraham is an investment advisor representative of Trek Financial, an SEC registered investment advisor. Bowler Capital Management is a marketing name only and does not carry a separate registration.